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Case Number: 26STCV05455 Hearing Date: July 27, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: July

27, 2026 TRIAL

DATE: Not set

CASE: Rassac – H & C

Inc. v. AIDS Healthcare Foundation

ASE NO.: 26STCV05455

CROSS-DEFENDANT

RASSAC-H&C, INC. DBA RASSAC AIR SYSTEMS'S DEMURRER TO CROSS-COMPLAINT OF
AIDS HEALTHCARE FOUNDATION

CROSS-DEFENDANT

RASSAC-H&C, INC. DBA RASSAC AIR SYSTEMS'S

MOTION

TO STRIKE CROSS-COMPLAINT OF AIDS HEALTHCARE FOUNDATION

MOVING PARTY: Plaintiff/Cross-Defendants

Rassac – H&C, Inc.

RESPONDING PARTY: Defendant/Cross-Complainant

AIDS Healthcare Foundation

This action

arises from a commercial business relationship between Rassac – H&C, Inc.

(“Rassac”) and the AIDS Healthcare Foundation (“AHF”). From 2017 to 2025, Rassac provided HVA maintenance, repair labor, and materials to affordable housing properties owned by AHF pursuant to written and oral agreements.

Rassac initiated this action alleging that AHF breached those agreements

by failing to pay Rassac for authorized and completed work. AHF cross-complained, contending that Rassac overcharged it for labor and materials.

I. BACKGROUND

On

February 18, 2026, Rassac commenced this action against AHF.

On

March 17, 2026, AHF filed an Answer and concurrently filed a Cross Complaint against Rassac for (1) negligence, (2) intentional misrepresentation, (3) intentional misrepresentation, (4) concealment, (5) false promise, (6) negligent misrepresentation, (7) breach of implied covenant of good faith and fair dealing, (8) violation of California Business and Professions Code § 17200, et seq., and (9) declaratory relief.

On May 20,

2026, Rassac filed a demurrer and motion to strike the Cross-Complaint.

On June 18,

2026, AHF filed oppositions.

On June 23,

2026, Rassac filed replies.

The court

begins by addressing the demurrer.

II. DISCUSSION

RE DEMURRER

A. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) “Because a demurrer challenges defects on the face of the complaint, it can only refer to matters outside the pleading that are subject to judicial notice.” (Arce ex rel. Arce v. Kaiser Found. Health Plan, Inc. (2010) 181 Cal.App.4th 471, 556.)

B. Application

Rassac demurs to the first, second, third, fourth, fifth, sixth, and ninth causes of action. The court addresses the demurrers in turn.

1. Negligence (1st COA)

Rassac argues the first cause of action is barred by the economic loss rule. The argument is meritorious. “In general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922.) “California Courts define economic loss as ‘damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits—without any claim of personal injury or damages to other property.’” (Department of Water & Power v. ABB Power T & D Co. (C.D.Cal. 1995) 902 F.Supp. 1178, 1186, fn. 4.)

Here, the Cross-Complaint alleges that “Rassac owed AHF a duty to accurately and correctly submit invoices for labor and materials which Rassac provided to AHF” and that Rassac “breached their duty ... by failing to accurately charge [AHF] for labor and materials, and for charging AHF for labor and materials which [Rassac] never provided to [AHF].” (Cross-Complaint, ¶¶ 19-20.) There is no alleged physical or property damage accompanying Rassac’s overbilling. There are likewise no allegations of whether the contract was negligent

performed. Rather, the allegations describe only a dispute about the value of the services rendered. The economic loss rule applies.

The demurrer to the first cause of action is SUSTAINED.

Leave to amend is GRANTED.

2. Intentional Misrepresentation (2nd COA)

Rassac argues the second cause of action is defective because the Cross-Complaint does not allege the claim with the requisite specificity. The argument is meritorious.

“Fraud must be pleaded with specificity rather than with ““general and conclusory allegations.”” (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645; West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 793.)

Here, the Cross-Complaint alleges that “Rassac represented to AHF that Rassac would provide invoices to AHF for payment for labor and materials provided to AHF, and at reasonable rates for such labor and materials” and that “Rassac knew its representations were false when it made them, or recklessly made these representations without regard for their truth.” (Cross-Complaint, ¶¶ 26-27.) Absent from the Cross-Complaint are any allegations identifying who made the representations, to whom they were made, when they were made, where they were made, and by what means. The claim is defective.

In opposition, AHF argues it is not necessary to plead this, or any fraud claim, against Rassac with specificity because Rassac allegedly engaged in a widespread scheme of fraud. For this proposition, AHF cites *People ex rel. Sepulveda v. Highland Federal Savings & Loan* (1993) 14 Cal.App.4th 1692 (*Sepulveda*). AHF's reliance on *Sepulveda* is misplaced. As Rassac points out, *Sepulveda* was a civil enforcement action premised on patterns of racketeering and mail fraud, where requiring the People to plead each of thousands of mailings would have been impractical. This case is not a civil enforcement action, nor does it appear to concern thousands of alleged instances of fraud. AHF fails to show the fraud particularity requirement should not apply to its claims.

The demurrer to the second cause of action is
SUSTAINED. Leave to amend is GRANTED.

3. Intentional Misrepresentation
(3rd COA)

Rassac argues the third cause of action does not allege
fraud with sufficient particularity nor any reasonable reliance. The argument lacks merit.

Here, the Cross-Complaint alleges:

13. AHF sent a demand letter to Rassac on April 7, 2025,
requesting that Rassac pay AHF \$450,092.56 as a refund for the overcharges
which AHF had found to date. In response, Rassac demanded payment from AHF for
radiators, which AHF had already paid for with a deposit in Fall of 2024, and
payment of outstanding, incorrect, and manipulated invoices. Rassac contended
that, in part, the inflated prices on its invoices resulted from its own
negligence in the form of a spreadsheet error, but refused to admit that it had
engaged in a campaign to systematically overcharge AHF.

14. AHF sent
follow-up correspondence to Rassac asserting that Rassac had engaged in a conspiracy
to commit fraud against AHF and demanding immediate payment of the \$450,092.56 previously
demanded or AHF would have no choice but to file suit.

15. On or around
November 10, 2025, Rassac provided AHF with a revised billing package. Rassac's
revised billing package failed to correct overcharges for parts and labor. This
revised billing package included items which Rassac had manipulated or
otherwise intentionally altered, including further inflated billing for labor
that was not performed. The revised billing package also contained documents
which Rassac claimed supported its calculations for time spent on labor. This
claim was false as Rassac intentionally altered, edited, or otherwise
manipulated the time records which it provided to AHF in an attempt to induce
justifiable reliance by AHF in resolving the dispute between the parties."

(Cross-Complaint,
¶¶ 13-15.) These allegations provide
sufficient specificity of the nature of this fraud claim and establishes AHF's

reliance on Rassac's misrepresentations.

The demurrer to the third cause of action is OVERRULED.

4. Concealment (4th COA)

Rassac argues the fourth cause of action fails because Rassac had no legal duty to disclose concealed information because the parties were not in a fiduciary relationship. The argument lacks merit.

The elements of fraudulent concealment are “(1) misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity (scienter); (3) intent to defraud (i.e., to induce reliance); (4) justifiable reliance; and (5) resulting damage.” (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843-844 [review denied] (internal citations omitted).) “Suppression of a material fact is actionable when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship.” (Ibid.) “Fraud, including concealment, must be pleaded with specificity.” (Ibid.; Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311; CACI No. 1901.)

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Here, the Cross-Complaint plainly alleges the existence of a relationship. Specifically, the Cross-Complaint alleges that “Rassac and AHF were engaged in a business relationship whereby Rassac would provide labor and materials to AHF for services rendered to, for, and on the AHF Properties.” (Cross-Complaint, ¶ 38.) Rassac’s Complaint makes clear this relationship was established through contract. (Complaint, ¶ 11.) The existence of a fiduciary relationship is not the only grounds to establish the requisite duty to support a fraudulent concealment claim.

The demurrer to the fifth cause of action is OVERRULED.

5. False Promise (5th COA)

Rassac argues the fifth cause of action fails because it does not allege contemporaneous intent to not to perform. The argument is meritorious.

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elements of a false promise claim are: (1) Defendants made a promise to Plaintiff; (2) Defendants did not intend to perform this promise when they made it; (3) Defendants intended that Plaintiff rely on this promise; (4) Plaintiff reasonably relied on Defendant's promise; (5) Defendant did not perform the promised act; (6) Plaintiff was harmed; and (7) Plaintiff's reliance on Defendants' promise was a substantial factor in causing its harm. (CACI No. 1902.)² "A cause of action for a false promise should plead facts to show the existence of two specific intentions of the promisor: an intention to cause the promisee to act by reason of the promise, and an intention at the time of the promise not to keep it. It is not enough to aver that the promisor by his promise intended to induce the promisee to act and that the latter did act in justifiable reliance on the promise. If the recipient wishes to obtain legal assurance that the intention honestly entertained will be carried out, he must see that it is expressed in the form of an enforceable contract." (Hills Transp. Co. v. Southwest Forest Industries, Inc. (1968) 266 Cal.App.2d 702, 708, quotations omitted.)

Here, the Cross-Complaint is devoid of any factual allegations to establish AHF's intentions.

The Cross-Complaint alleges only that "Rassac made a promise to AHF to charge AHF reasonable prices for labor and materials, and to only charge AHF for labor and materials which Rassac provided to AHF. Rassac did not intend to perform this promise when Rassac made it."

(Cross-Complaint, ¶ 44.) The allegation is conclusory.

The demurrer to the fifth cause of action is
SUSTAINED. Leave to amend is GRANTED.

6. Negligent misrepresentation (6th COA)²

The sixth cause of action is premised on the same allegations supporting the second cause of action. Because the second cause of action against is deficient, the sixth cause of action fails for the same reasons.

The demurrer to the sixth cause of action is SUSTAINED. Leave to amend is GRANTED.

7. Declaratory Relief (9th COA)

“To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party’s rights or obligations.” (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, quotation marks and brackets omitted.)²² “Declaratory relief operates prospectively, serving to set controversies at rest before obligations are repudiated, rights are invaded or wrongs are committed. Thus the remedy is to be used to advance preventative justice, to declare rather than execute rights. [Citation.]” (Monterey Coastkeeper v. Central Coast Regional Water Quality Control Bd. (2022) 76 Cal.App.5th 1, 13, internal citation omitted.)

Here, the

Cross-Complaint alleges that “Rassac only billed for its labor and materials after rendering the same to AHF. At no point prior to rendering labor and materials to AHF did Rassac provide AHF with any opportunity to negotiate price or other terms. Rassac would only provide invoicing for labor and materials after providing labor and materials to AHF. Rassac effectively provided AHF with unconscionable adhesion contracts.”

(Cross-Complaint, ¶ 64.) For this reason, AHF seeks rescission of the agreements, disgorgement of all monies overpaid, and an accounting.

(Cross-Complaint, ¶ 66.) On its face, AHF’s declaratory relief claim is retrospective. It deals with wrongs that have allegedly already been committed. This is not a proper basis for declaratory relief.

The demurrer to the ninth cause of action is SUSTAINED. Leave to amend is DENIED.

C.

Conclusion

The demurrers to the first, second, fifth, sixth, and ninth causes of action are Sustained.²³

The demurrers to the third and fourth causes of action are Overruled.

Leave to amend is Granted as to the first, second, fifth, and sixth causes of action only. 22

III. DISCUSSION

RE MOTION TO STRIKE

A. Legal Standard

Any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole pleading or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. R. Ct., rule 3.1322(b).) On a motion to strike, the court may: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subds. (a)-(b); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782.) 2222

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“The grounds for a motion to strike are limited to matters appearing on the face of the challenged pleading or matters which must or may be judicially noticed. (§ 437, subd. (a); Evid. Code, §§ 451, 452.)” (*Garcia v. Sterling* (1985) 176 Cal.App.3d 17, 20.) 2222

B. Application

Rassac seeks an order striking punitive damages allegations from the first, sixth, and seventh causes of action, and attorney fees from the eighth cause of action. Given the court's ruling on the demurrer, the motion as to the first and sixth causes of action is MOOT. The court proceeds to consider the remaining arguments.

1. Punitive Damages

“In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or

malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.”² (Civ. Code, § 3294, subd. (a).)³

Rassac argues punitive damages are not available for the seventh cause of action for breach of the implied covenant of good faith and fair dealing. The argument is meritorious.

“The implied covenant of good faith and fair dealing is a contractual relationship and does not give rise to an independent duty of care. Rather, the implied covenant of good faith and fair dealing is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated by the contract. [Citation.] Outside of the insured-insurer relationship and others with similar qualities, breach of the implied covenant of good faith and fair dealing does not give rise to tort damages.” (Ragland v. U.S. Bank National Assn. (2012) 209 Cal.App.4th 182, 206, quotations and citations omitted, italics in original.)

In short, outside of the insured-insurer context, there is no basis for punitive damages for an implied covenant claim.

The motion to strike punitive damages allegations from the seventh cause of action is GRANTED.
Leave to amend is DENIED.

2. Attorney's Fees

As part of the eighth cause of action for violation of Business and Professions code section 17200 (the “UCL”), AHF seeks recovery of attorney fees for “enforcing an important right affecting the public interest in order to confer on the general public or a large class of persons a significant benefit. Recovery of [AHF's] attorneys' fees and costs is therefore appropriate given the necessity and financial burden of private enforcement and because any such fee should not in the interest of justice be paid out of the recovery.”
(Cross-Complaint, ¶ 61.)

Rassac argues the request for attorney fees should be stricken

because the Cross-Complaint pleads the elements set forth under Code of Civil Procedure section 1021.5 without referencing that statutory provision. The argument lacks merit.

“There is no requirement that the intent to seek attorney fees under section 1021.5 must be pleaded in the underlying action. [Citation.] Such fees are not part of the underlying cause of action, but are incidents to the cause and are properly awarded after entry of a ... judgment[.]” (Washburn v. City of Berkeley (1987) 195 Cal.App.3d 578, 583.)

Contrary to Rassac's position, there is no requirement to plead Code of Civil Procedure section 1021.5 to obtain attorney fees.

Rassac next argues that even if AHF properly invoked Section 1021.5, attorney fees are improper because this is a private commercial dispute which would not benefit the general public or any large class of persons. The argument does not fare better. “Although the UCL does not provide for attorney fees, a prevailing plaintiff may seek attorney fees as a private attorney general under Code of Civil Procedure section 1021.5.” (Zhang v. Superior Court (2013) 57 Cal.4th 364, 371, fn. 4.)

“[E]ligibility for section 1021.5 attorney fees is established when (1) plaintiffs' action has resulted in the enforcement of an important right affecting the public interest, (2) a significant benefit, whether pecuniary or nonpecuniary has been conferred on the general public or a large class of persons and (3) the necessity and financial burden of private enforcement are such as to make the award appropriate.” (Conservatorship of Whitley (2010) 50 Cal.4th 1206, 1214, internal quotations omitted.) These requirements have been pleaded in the Cross-Complaint. The court is not aware of authority, and Rassac does not cite to any, for the proposition that factual allegations must support these requirements. Rather, attorney fees under section 1021.5 are available if the plaintiff prevails and carries their burden on the three delineated requirements.

The motion to strike attorney's fees from the eighth cause of action is DENIED.

C. Conclusion

The motion

to strike punitive damages allegations from the seventh cause of action is Granted. Leave to amend is Denied.

The motion

to strike attorney's fees from the eighth cause of action is Denied.

The motion

to strike punitive damages from the first and sixth causes of action is Moot.

IV. DISPOSITIONS

1. The demurrers to

the first, second, fifth, sixth, and ninth causes of action are Sustained.¿ The

demurrers to the third and fourth causes of action are Overruled. Leave to amend is Granted as to the first, second, fifth, and sixth causes of action only.¿¿

2. The motion to

strike punitive damages allegations from the seventh cause of action is

Granted. Leave to amend is Denied. The motion to strike attorney's fees from the eighth cause of action is Denied. The

motion to strike punitive damages from the first and sixth causes of action is Moot.

AHF are ordered to serve and file the First Amended Cross-Complaint within 15 days of this order.

Moving party to give notice, unless waived.

Dated: July 27, 2026

Brock T. Hammond

Judge of the Superior

Court